

Retail Research	IPO Note
Sector: Jewelry	Price Band (Rs): 397 - 417
09 th December 2024	

International Gemmological Institute (India) Ltd.

Company Overview:

International Gemmological Institute (India) Ltd. (IGI) is the world's second largest independent certification and accreditation services provider for diamonds, studded jewelry and colored stones certifications (based on CY23 revenue). The company has a global market share of approximately 33%, based on the number of certifications (Sources: Redseer Report)

The Pre-Acquisition Group's primary business is the provision of services related to the certification and accreditation of natural diamonds, laboratory-grown diamonds, studded jewelry and colored stones as well as the offering of educational programs. IGI has a global network of 31 branches which are equipped with IGI laboratories across 10 countries and 18 schools of gemology across 6 countries. As of Sep'24, the company operates the largest pan-India laboratory network among global peers for grading lab-grown diamonds.

Key Highlights:

1. Amongst the market leaders in an industry characterized by entry barriers: IGI is the largest independent certification and accreditation services provider holding approximately 50% market share in India and 33% globally in terms of number of certifications for diamonds, studded jewelry, and colored stones for CY23. According to Redseer Report, the loose gemstone & studded jewelry certification market is characterized by high entry barriers to new players like i) high initial set-up cost of equipment & infrastructure; ii) established high-quality educational practices; iii) strategic partnership with retailers and iv) gaining trust of customers etc. Due to these barriers, the threat of new entrants disrupting the market is low.

2. First mover in providing certifications in the laboratory grown diamonds industry: IGI was the first among our global peers to issue certification reports for laboratory-grown diamonds globally in CY05. IGI became the global market leader with ~65% market share based on the number of certifications of laboratory-grown diamonds for CY23. As the first mover in the certification of laboratory-grown diamonds, it has created customer relationships and developed efficiencies in the mode of service delivery to improve the quality of certification services. The company is strategically present in the key markets for laboratory-grown diamonds, including India, the United States, and the PRC.

3. Extensive range of certification and accreditation services: IGI is one of three players that offer a full stack of comprehensive offerings among global peers, covering grading and classification services across different stone types. The service offerings comprise providing certification, co-branded reports, grading and accreditation services for natural diamonds, laboratory-grown diamonds, studded jewelry and colored stones.

4. Education initiatives helping in spreading awareness, building customer partnership and strengthening brand: The company's 18 IGI Schools of Gemology across 6 countries help enhance the pool of qualified gemologists, build partnerships with potential customers, create awareness towards the importance of certification and help build brand and reputation, and promote services to existing and potential customers.

Valuation: The company, at its Lower/Upper price band of Rs 397/ Rs 417, is valued at P/E multiple of 40.8x/42.8x respectively based on its 9MCY24 annualised earnings on post issue capital. The company has delivered strong performance between CY21-CY23 with Revenue/EBITDA/PAT growing at a GAGR of 56.9%/43.6%/38.9% to Rs 898.0 cr/ Rs 496.0 cr/ Rs 330.8 cr respectively as of CY'23.

Issue Details	
Date of Opening	13 th December 2024
Date of Closing	17 th December 2024
Price Band (Rs)	397 - 417
Offer for sale (Rs cr)	2,750
Fresh Issue (Rs cr)	1,475
Issue Size (Rs cr)	4,225
No. of shares	10,64,23,174 – 10,13,18,945
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	17,227 – 18,201
BRLMs	Axis Capital, Kotak Mahindra Capital Co, Morgan Stanley India Co, SBI Capital Markets
Registrar	KFin Technologies Ltd
Bid Lot	35 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Payment for the purchase consideration for the acquisition of the IGI Belgium Group and IGI Netherlands Group from the Promoter (BCP Asia II TopCo)	1,300.0
General Corporate Purposes [^]	-
Total proceeds from fresh issue	1,475.0

[^] To be determined upon finalisation of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount to be utilised for general corporate purposes alone shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	39,67,83,045	100.0
Public & Others	-	-
Total	39,67,83,045	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	32,75,13,524	75.5
Public & Others	10,64,23,174	24.5
Total	43,39,36,697	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	33,08,35,803	76.6
Public & Others	10,13,18,945	23.4
Total	43,21,54,748	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	CY21 ^{^1}	CY22 ^{^1}	CY23 ^{^2}	9MCY24 ^{^2}
Revenue from operation	364.7	491.0	898.0	788.2
EBITDA	240.6	335.2	496.0	441.7
PAT	171.5	241.8	330.8	316.8
EBITDA Margin (%)	66.0	68.3	55.2	56.0
PAT Margin (%)	47.0	49.2	36.8	40.2
ROE (%)	70.7	71.3	-	-
ROCE (%)	98.0	97.9	-	-
P/E (x) ^{^3}	96.5	68.4	50.0	39.2

Source: RHP, SSL Research

[^]Notes:

1: Data for CY21 on a standalone basis while CY22 is restated consolidated basis

2: Data for CY23 and 9MCY24 on a Proforma basis for combined statements of IGI India, IGI Netherlands BV and IGI Belgium BV.

3: Pre-issue P/E (x) is based on upper price band, while 9MCY24 is based on an annualized basis.

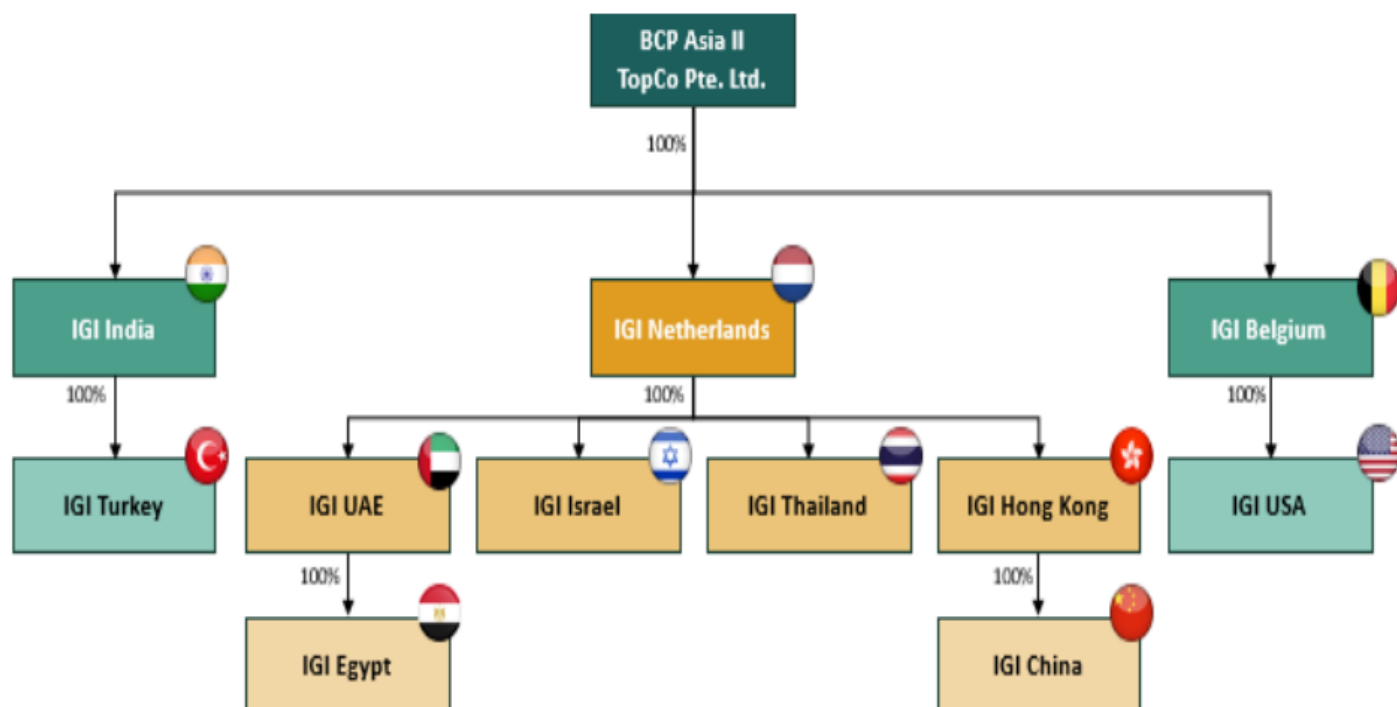
Risk Factors

- **Reputational risk:** The company is an established and reputed certifier in global markets with legacy of over 50 years. The reputation and value of the brand is crucial to retain and acquire new customers and any adverse publicity concerning the quality, reliability, integrity or accuracy of certification services (including allegations) could result in loss of existing customers and hinder the ability to acquire new customers. This in turn could have a material effect on business, result of operations and cashflows.
- **Customer retention risk:** The company do not often enter into exclusive or long-term contracts with customers and orders are placed on an as-needed basis. The business is dependent on the company's ability to maintain and strengthen relationships and arrangements with existing customers and to a large extent on its ability to regularly meet their requirements including price competitiveness, efficient & timely service deliveries and consistent quality. Any failure in retaining customers in a cost-effective manner may have an adverse effect on business, result of operations and cashflows.
- **Acquisition risk:** The company will become the sole shareholder in IGI Netherland and IGI Belgium post the acquisition and will be solely responsible for overseeing and managing the IGI business in India and abroad. The company may face difficulties in managing and administering an internationally dispersed business due to the inconsistencies in standards, controls and procedures of operations. Any failure to effectively oversee and manage the acquired businesses may have an adverse effect on business, result of operations and cashflows.
- **IT risk:** The company relies significantly on its information technology systems for business and operations. Any failure of the information technology systems, physical or electronic security protections or an interruption in their operation due to internal or external factors including cyber-attacks or insider threats could have a material adverse effect on business, financial condition or results of operations.

Growth Strategies

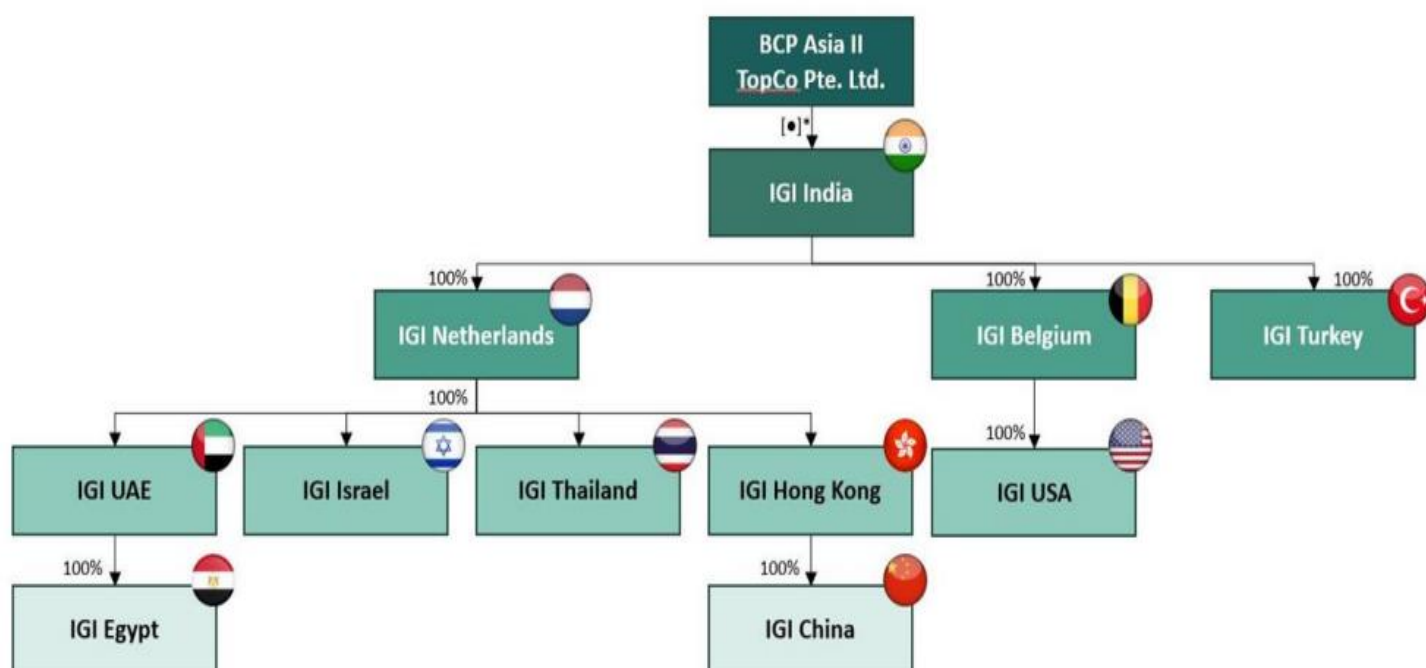
- Maintain leadership position in certification of laboratory-grown diamonds.
- Expand presence in natural diamond, studded jewelry and colored stone vertical market.
- To expand global laboratory network.
- Continue to invest in building brand salience.
- Leverage strength in education to increase awareness as well as build trust and transparency.
- Continue to invest in technology including AI to improve processes.

Corporate Structure – Pre Acquisition



Source: RHP, SSL Research

Corporate Structure – Post Acquisition



Source: RHP, SSL Research

Revenue Mix – Segment Wise

Particulars	CY21 ^{^1}		CY22 ^{^1}		CY23 ^{^2}		9MCY24 ^{^2}	
	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %	Rs cr	as a %
Certification Services for								
i) Lab-grown Diamonds	128.7	35.3	205.0	41.7	412.8	46.0	407.2	51.7
ii) Natural Diamonds	118.4	32.5	122.1	24.9	166.2	18.5	141.1	17.9
iii) Studded Jewellery & Coloured Stones	110.4	30.3	150.6	30.7	284.1	31.6	215.0	27.3
Education	2.5	0.7	3.9	0.8	22.8	2.5	18.9	2.4
Others	4.8	1.3	9.4	1.9	12.1	1.3	5.9	0.8
Total	364.7	100.0	491.0	100.0	898.0	100.0	788.2	100.0

Source: RHP, SSL Research

[^]Notes:

1: Data for CY21 on a standalone basis while CY22 is restated consolidated basis

2: Data for CY23 and 9MCY24 on a Proforma basis for condensed statement (IGI India + IGI Netherlands BV + IGI Belgium BV).

Geographical Presence – Post Acquisition

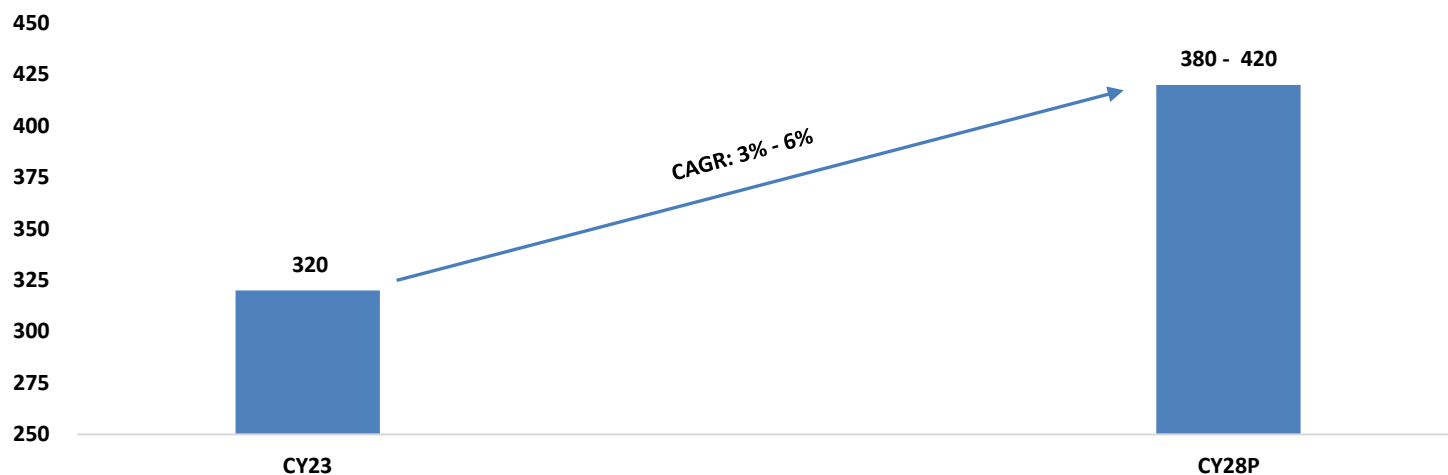


Source: RHP, SSL Research

Industry Overview

The **Global Jewelry Market** was valued at USD 320 bn in CY23 and is expected to grow at a CAGR of 3%-6% between CY23 to CY28P to reach USD 380 bn to USD 420 bn by CY28P. The growth is likely to be driven by both demand and supply side factors including emergence of daily wear jewelry and acceptance of various colored gemstones on the demand side and innovation in designs and growth in online retail on the supply side. Further, the rising acceptance and use of jewelry by men is driving demand for products like cufflinks, gold chains, etc which in turn fueling market expansion.

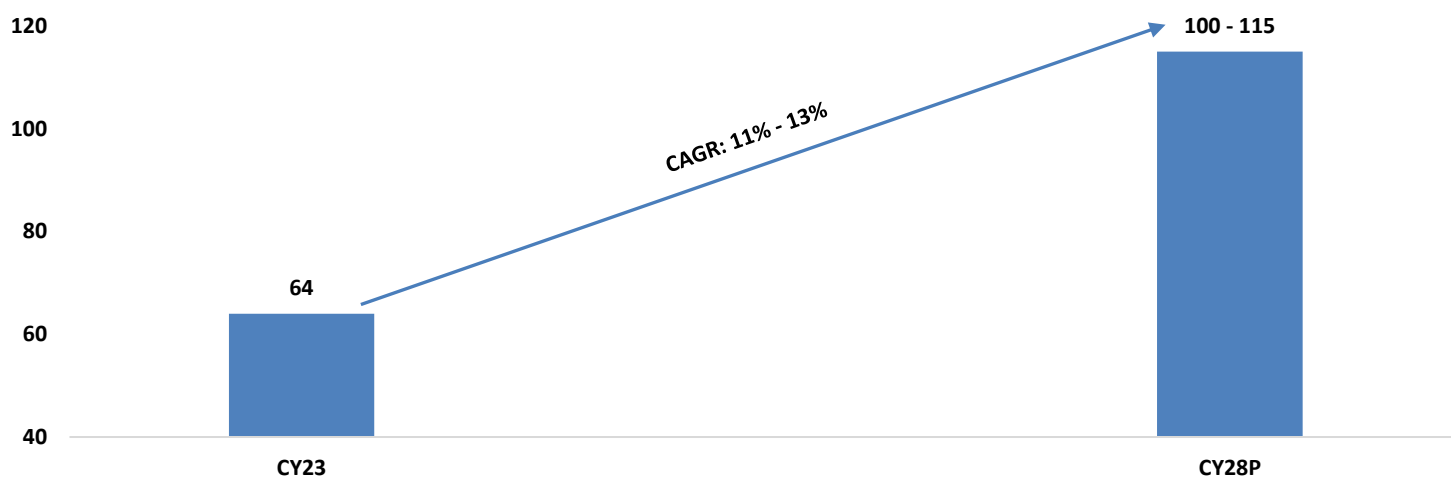
Global Jewelry Market Size (USD bn)



Source: RHP, SSL Research

The **Indian Jewelry Market** stood at USD 64 bn in CY23 and is expected to reach USD 100 bn to USD 115 bn by CY28P, growing at a CAGR of 11% - 13% between CY23 to CY28P driven by rapid urbanization and increasing discretionary spending of individuals. The Jewelry market in India is largely dominated by gold representing ~87% of the total Indian jewelry market, however the share of gold in the overall market is expected to reduce in the future to 70%-75% by CY28 as other categories like diamonds, gemstones are becoming more prominent. Further, the market share of the organized sector has improved from ~2% in CY10 to ~35% in CY23, which is further expected to grow to 40%-50% by CY28P, driven by supply-side reforms like mandatory gold hallmarking and introduction of GST etc.

Indian Jewelry Market Size (USD bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
Particulars (Rs cr)	CY21 ^{^1}	CY22 ^{^1}	CY23 ^{^2}	9MCY24 ^{^2}
Revenue from Operations	365	491	898	788
YoY growth (%)	-	34.6%	82.9%	-12.2%
Cost Of Revenues (incl Stock Adj)	2	2	3	3
Gross Profit	363	489	895	786
Gross margins (%)	99.5%	99.6%	99.6%	99.7%
Employee Cost	74	88	235	199
Other Operating Expenses	49	66	164	145
EBITDA	241	335	496	442
EBITDA margins (%)	66.0%	68.3%	55.2%	56.0%
Other Income	10	8	12	31
Interest Exp.	2	3	10	7
Depreciation	12	12	42	31
PBT	236	329	455	435
Exceptional item/Extraordinary item	0	0	0	0
Tax	65	88	125	118
PAT	172	242	331	317
PAT margin (%)	47.0%	49.2%	36.8%	40.2%
EPS^{^3}	4.3	6.1	8.3	10.6

BALANCE SHEET				
Particulars (Rs cr)	CY21 ^{^1}	CY22 ^{^1}	CY23 ^{^2}	9MCY24 ^{^2}
Assets				
Net Block	65	71	144	145
Capital WIP	-	-	20	35
Intangible Assets	4	3	4	3
Intangible Assets under development	-	-	-	3
Right of use assets	24	35	133	121
Other Non-current Assets	21	23	237	238
Current Assets				
Inventories	-	-	1	1
Trade receivables	34	63	125	149
Cash and Bank Balances	164	199	321	418
Other Current Assets	7	13	46	63
Total Current Assets	205	276	493	632
Current Liabilities & Provisions				
Trade payables	15	5	19	13
Other current liabilities	38	28	1,425	1,455
Total Current Liabilities	53	33	1,445	1,468
Net Current Assets	152	243	-952	-836
Total Assets	267	376	-414	-291
Liabilities				
Share Capital	0	0	0	79
Reserves and Surplus	242	339	-580	-530
Total Shareholders' Funds	243	339	-580	-451
Total Debt	-	-	-	-
Lease Liabilities	16	27	151	141
Other Long-Term Liabilities	4	4	15	18
Net Deferred Tax Liability	4	6	-	1
Total Liabilities	267	376	-414	-291

Cashflows (Rs cr)	CY21 ^{^1}	CY22 ^{^1}	CY23	9MCY24
Cash flow from Operating Activities	193	194	297	327
Cash flow from Investing Activities	(13)	(43)	(66)	(228)
Cash flow from Financing Activities	(171)	(154)	(149)	(197)
Free Cash Flow	189	184	259	314

RATIOS				
	CY21 ^{^1}	CY22 ^{^1}	CY23 ^{^2}	9MCY24 ^{^2}
Profitability				
Return on Assets (%)	53.7	59.1	32.1	35.9
Return on Capital Employed (%)	98.0	97.9	-	-
Return on Equity (%)	70.7	71.3	-	-
Margin Analysis				
Gross Margin (%)	99.5	99.6	99.6	99.7
EBITDA Margin (%)	66.0	68.3	55.2	56.0
Net Profit Margin (%)	47.0	49.2	36.8	40.2
Short-Term Liquidity				
Current Ratio (x)	3.6	7.1	0.3	0.4
Quick Ratio (x)	3.6	7.1	0.3	0.4
Avg. Days Sales Outstanding	34	47	51	52
Avg. Days Inventory Outstanding	-	-	-	1
Avg. Days Payables	15	4	8	5
Fixed asset turnover (x)	5.6	6.9	6.3	5.4
Debt-service coverage (x)	139.5	126.0	44.5	61.0
Long-Term Solvency				
Total Debt / Equity (x)	-	-	-	-
Interest Coverage Ratio (x)	139.5	126.0	44.7	61.0
Valuation Ratios^{^3}				
EV/EBITDA (x)	68.1	48.8	32.7	27.4
P/E (x)	96.5	68.4	50.0	39.2
P/B (x)	68.2	48.8	-	-
EV/Sales (x)	44.9	33.3	18.1	15.3

Source: RHP, SSL Research

[^]Notes:

1: Data for CY21 is based on a standalone while CY22 is as per the restated consolidated statement

2: Data for CY23 and 9MCY24 on a Proforma basis for combined statements of IGI India, IGI Netherlands BV and IGI Belgium BV.

3: Valuation ratios and EPS are based on 9MCY24 annualized earnings.

SBICAP Securities Limited

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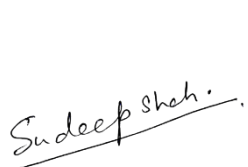
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